CONCRETE SUBCONTRACT AGREEMENT

This Concrete Subcontract Agreement (the "Subcontract") is made and entered into as of February 2, 2026 (the "Effective Date"), by and between Sierra Crest General Contractors, Inc., a California corporation, California Contractor's License No. 1084412 (Class B), with its principal office at 2210 East Foothill Boulevard, Suite 300, Pasadena, California 91107 ("Contractor"), and Granite State Concrete, Inc., a California corporation, California Contractor's License No. 1091760 (Class C-8), with its principal office at 845 North Todd Avenue, Azusa, California 91702 ("Subcontractor").

Contractor has entered into a prime agreement dated November 17, 2025 (the "Prime Contract") with Pasadena Arts Foundation, a California nonprofit public benefit corporation ("Owner"), for construction of the project known as the Colorado Boulevard Gallery Expansion, located at 1460 East Colorado Boulevard, Pasadena, California 91106 (the "Project").

Contractor wishes to engage Subcontractor to perform a portion of the work under the Prime Contract, and Subcontractor wishes to perform that work, on the terms stated below. In consideration of the mutual promises in this Subcontract, the parties agree as follows.

ARTICLE 1 — DEFINITIONS AND SUBCONTRACT DOCUMENTS

1.1 **Defined Terms.** Capitalized terms used in this Subcontract have the meanings given in this Article or where first defined. "Subcontract Work" means all labor, materials, equipment, supervision, and services required by the Subcontract Documents for the scope described in Article 2. "Subcontract Sum" means the amount stated in Article 3, as adjusted by written Change Order. "Final Completion of the Subcontract Work" means the date on which all Subcontract Work, including punch list items and closeout submittals, has been completed and accepted in writing by Contractor.

1.2 **Subcontract Documents.** The Subcontract Documents consist of (a) this Subcontract, including its Exhibit; (b) the Prime Contract, to the extent it applies to the Subcontract Work; (c) the drawings prepared by Halverson Ruiz Architects, Project No. HRA-2417, dated October 3, 2025, and the structural drawings prepared by Meridian Structural Engineers, sheets S-001 through S-512, dated October 3, 2025; (d) the Project Manual dated October 3, 2025, including Section 03 10 00 (Concrete Forming and Accessories), Section 03 20 00 (Concrete Reinforcing), Section 03 30 00 (Cast-in-Place Concrete), Section 03 35 43 (Polished Concrete Finishing), and Section 03 39 00 (Concrete Curing); and (e) all addenda and Change Orders issued before or after the Effective Date.

1.3 **Flow-Down.** Subcontractor is bound to Contractor by the Subcontract Documents to the same extent that Contractor is bound to Owner by the Prime Contract, insofar as those obligations apply to the Subcontract Work. Subcontractor has had the opportunity to review the Prime Contract and acknowledges that it has done so.

1.4 **Order of Precedence.** If the Subcontract Documents conflict, this Subcontract governs over the Prime Contract. Among the drawings and specifications, the more stringent requirement governs unless Contractor directs otherwise in writing.

ARTICLE 2 — SCOPE OF SUBCONTRACT WORK

2.1 **Scope.** Subcontractor shall furnish and install all cast-in-place concrete work for the Project, including layout from Contractor's primary control points, formwork, reinforcing steel and embedded items furnished by others, spread and continuous footings, grade beams, slab-on-grade, the elevated gallery mezzanine slab on metal deck, exterior site walls, curbs, and pads, and all finishing, curing, and sealing required by Sections 03 10 00 through 03 39 00.

2.2 **Inclusions.** The Subcontract Work includes pumping and placing equipment, vapor retarder under interior slabs, control and construction joints, joint filler, anchor bolt setting to templates provided by others, housekeeping pads, coordination with the testing agency retained by Owner, and cleanup and removal of concrete waste and washout.

2.3 **Exclusions.** The Subcontract Work does not include excavation and backfill, structural steel and metal deck, special inspection fees, or the cost of testing performed by Owner's testing agency, except retesting required because work failed to conform.

2.4 **Standard of Performance.** Subcontractor shall perform the Subcontract Work in a good and workmanlike manner, in accordance with the Subcontract Documents, applicable building codes, and the requirements of authorities having jurisdiction.

ARTICLE 3 — SUBCONTRACT SUM

3.1 **Amount.** Contractor shall pay Subcontractor, under the terms of Article 5, for full performance of the Subcontract Work the fixed sum of Three Hundred Eighty-Five Thousand Dollars ($385,000.00), subject to additions and deductions by Change Order.

3.2 **Taxes and Costs Included.** The Subcontract Sum includes all applicable sales and use taxes, permits required for Subcontractor's own operations, freight, fuel surcharges, and all costs of labor, including prevailing or other wage obligations that may apply.

3.3 **Schedule of Values.** The Subcontract Sum is allocated as shown in the Exhibit — Schedule of Values. Contractor will use the Schedule of Values to evaluate payment applications. Subcontractor shall not front-load or rebalance line items without Contractor's written consent.

ARTICLE 4 — TIME AND SCHEDULE

4.1 **Commencement.** Subcontractor shall begin the Subcontract Work within five (5) working days after receiving Contractor's written notice to proceed and shall proceed diligently and continuously.

4.2 **Schedule.** Subcontractor shall perform the Subcontract Work in accordance with Contractor's Project schedule, as updated from time to time. Subcontractor shall provide sufficient labor, equipment, and materials to maintain the schedule and shall attend weekly coordination meetings.

4.3 **Delays.** If Subcontractor is delayed by an act or neglect of Owner or Contractor or by causes beyond Subcontractor's control, Subcontractor shall give written notice to Contractor within five (5) days after the delay begins. Subcontractor's sole remedy for such delay is an extension of time equal to the period of delay, plus any compensation that Contractor actually recovers from Owner on Subcontractor's behalf.

4.4 **Liquidated Damages.** If Owner assesses liquidated damages against Contractor under the Prime Contract, and the delay is attributable in whole or in part to Subcontractor, Subcontractor shall be liable for the portion attributable to it.

ARTICLE 5 — PROGRESS PAYMENTS

5.1 **Payment Applications.** On or before the twentieth (20th) day of each month, Subcontractor shall submit to Contractor an itemized application for payment covering Subcontract Work completed through the end of that month, in the format of the Schedule of Values, together with the lien releases required by Article 7 and any supporting documents Contractor reasonably requests.

5.2 **Source of Payment.** Subcontractor agrees that it shall be paid only out of funds actually received by Contractor from Owner for Subcontractor's work, and that Subcontractor bears the entire risk that Owner fails to pay for any reason including insolvency.

5.3 **Effect of Owner Nonpayment.** Contractor has no obligation to pay Subcontractor any sum for Subcontract Work, whether as a progress payment, retention, or final payment, unless and until Contractor has actually received payment from Owner for that Subcontract Work. If Owner never pays Contractor for some or all of the Subcontract Work, for any reason, including Owner's insolvency, bankruptcy, lack of funds, or dispute with Contractor not caused by Subcontractor, Contractor shall have no obligation to pay Subcontractor for that work. Subcontractor accepts this allocation of risk knowingly and has priced the Subcontract Sum accordingly.

5.4 **Timing of Payment.** Within seven (7) days after Contractor's receipt of payment from Owner that includes amounts for Subcontract Work, Contractor shall pay Subcontractor the amount Owner paid for that work, less retention under Article 6 and any amounts withheld under Article 8. The parties agree in writing to this seven (7) day payment period.

5.5 **Stored Materials.** Contractor will not pay for materials or equipment stored on or off the Project site. Subcontractor shall include in a payment application only materials that have been incorporated into the Project.

5.6 **No Acceptance.** No payment by Contractor is an acceptance of defective or nonconforming work, and no payment waives any of Contractor's rights under this Subcontract.

5.7 **Final Payment.** Final payment, consisting of the unpaid balance of the Subcontract Sum other than retention, is due under Section 5.4 after (a) Final Completion of the Subcontract Work; (b) Subcontractor's delivery of all warranties, as-built markups, mix design records, and other closeout submittals; (c) Subcontractor's delivery of the releases required by Article 7; and (d) Contractor's receipt from Owner of final payment for the Subcontract Work.

ARTICLE 6 — RETENTION

6.1 **Amount Withheld.** Contractor shall withhold as retention five percent (5%) of each progress payment otherwise due to Subcontractor.

6.2 **Release of Retention.** Retention shall be released upon Final Completion of the Subcontract Work and Contractor's receipt of retention from Owner. Contractor shall pay Subcontractor its retention within ten (10) days after both of those events have occurred, less any amounts withheld under Article 8.

6.3 **Retention Subject to Article 5.** Retention is a portion of the Subcontract Sum and is payable only from funds Contractor actually receives from Owner, as stated in Section 5.2.

ARTICLE 7 — LIEN RELEASES AND WAIVERS

7.1 **Conditional Releases With Each Application.** With each application for progress payment, Subcontractor shall deliver to Contractor a conditional waiver and release on progress payment covering the full amount requested.

7.2 **Unconditional Releases After Payment.** Within five (5) days after Subcontractor receives each progress payment, Subcontractor shall deliver to Contractor an unconditional waiver and release on progress payment covering the amount received. Upon final payment, Subcontractor shall deliver an unconditional waiver and release on final payment.

7.3 **Statutory Forms Required.** Every waiver and release delivered under this Subcontract must be in the form prescribed by California Civil Code sections 8132, 8134, 8136, and 8138, as applicable, without modification. Contractor may reject any release that departs from the statutory form.

7.4 **Lower-Tier Releases.** With each payment application, Subcontractor shall also deliver conditional statutory releases from each of its sub-subcontractors and material suppliers whose work or materials are included in the application, and, after payment, the corresponding unconditional statutory releases from each of them for amounts paid in the prior period.

7.5 **Payment of Lower Tiers.** Subcontractor shall promptly pay its sub-subcontractors, suppliers, and workers all amounts due for work and materials furnished for the Project. If any stop payment notice, mechanics lien, or bond claim is filed by anyone claiming through Subcontractor, Subcontractor shall cause it to be released within ten (10) days after notice from Contractor.

ARTICLE 8 — WITHHOLDING, BACKCHARGES AND SETOFF

8.1 **Backcharges and Setoff.** Contractor may deduct from any amount otherwise payable to Subcontractor under this Subcontract, or under any other agreement between the parties, all costs, damages, and expenses that Contractor incurs because of Subcontractor's failure to perform, including cleanup, repair of damage caused by Subcontractor, supplementing Subcontractor's forces, and liquidated damages under Section 4.4.

8.2 **Withholding for Defective Work.** Contractor may withhold from any payment an amount sufficient to cover the cost to correct Subcontract Work that is defective, nonconforming, or rejected by Owner, the architect, or a building official, until the work has been corrected and accepted.

8.3 **Other Grounds.** Contractor may also withhold payment, in an amount reasonably related to the grounds, for (a) unpaid claims of Subcontractor's lower tiers; (b) stop payment notices or liens filed by anyone claiming through Subcontractor; (c) failure to deliver the releases required by Article 7; or (d) failure to maintain the schedule.

8.4 **Notice of Backcharge.** Contractor shall give Subcontractor written notice of each backcharge, describing its basis and amount, before or at the time the deduction is taken. When the grounds for withholding are removed, Contractor shall pay the amount withheld, subject to Article 5.

ARTICLE 9 — CHANGES

9.1 **Change Orders.** Contractor may, without invalidating this Subcontract, order additions, deletions, or other changes in the Subcontract Work. All changes must be authorized by a written Change Order signed by Contractor. Subcontractor shall not be paid for any extra work performed without a signed Change Order.

9.2 **Pricing.** Subcontractor shall submit a proposal for each requested change within five (5) working days, itemized by labor, materials, equipment, and markup. Markup for overhead and profit on Subcontractor's own work shall not exceed ten percent (10%).

9.3 **Claims.** Any claim for additional compensation or time must be submitted in writing within seven (7) days after Subcontractor first learns of the event giving rise to it. Claims that depend on Owner's acceptance shall be passed through to Owner, and Subcontractor shall be bound by Owner's determination to the same extent Contractor is bound.

9.4 **Continuation of Work.** Pending resolution of any change or claim, Subcontractor shall proceed diligently with the Subcontract Work as directed by Contractor.

ARTICLE 10 — WARRANTY AND CORRECTION OF WORK

10.1 **Warranty.** Subcontractor warrants that all materials furnished are new and of the quality specified and that the Subcontract Work will be free from defects in materials and workmanship for one (1) year after Owner's acceptance of the Project, or any longer period stated in the Subcontract Documents.

10.2 **Correction.** Subcontractor shall correct, at its own cost, any defective or nonconforming Subcontract Work within seven (7) days after written notice, or sooner if the condition affects safety or the schedule. Correction includes the cost of removing and replacing work of other trades damaged or disturbed by the correction.

10.3 **Concrete Tolerances.** Slab flatness and levelness shall meet the values specified in Section 03 30 00. Slabs that fail testing shall be corrected by grinding, topping, or removal and replacement, as directed by the architect.

ARTICLE 11 — INSURANCE AND INDEMNITY

11.1 **Required Coverage.** Before starting work, Subcontractor shall obtain and maintain the following insurance with carriers rated A- VII or better: (a) commercial general liability, $2,000,000 per occurrence and $4,000,000 aggregate, including completed operations for five (5) years after Final Completion of the Subcontract Work; (b) business automobile liability, $1,000,000 combined single limit; (c) workers' compensation at statutory limits and employer's liability of $1,000,000; and (d) umbrella liability of $5,000,000.

11.2 **Additional Insureds.** Contractor, Owner, and their officers, directors, and employees shall be named as additional insureds on the general liability, automobile, and umbrella policies, on a primary and noncontributory basis, with a waiver of subrogation.

11.3 **Indemnity.** To the fullest extent permitted by California law, including Civil Code section 2782, Subcontractor shall defend, indemnify, and hold harmless Contractor and Owner from all claims, damages, losses, and expenses, including attorneys' fees, arising from the performance of the Subcontract Work, to the extent caused by the negligence, recklessness, or willful misconduct of Subcontractor or anyone for whom it is

responsible. This duty does not extend to claims arising from the active negligence or willful misconduct of an indemnified party.

ARTICLE 12 — SAFETY AND SITE CONDITIONS

12.1 **Safety Program.** Subcontractor shall comply with Cal/OSHA regulations, Contractor's site safety plan, and all applicable safety requirements, and shall designate a competent person on site at all times while its forces are working.

12.2 **Cleanup.** Subcontractor shall keep its work areas free of debris daily and shall contain all concrete washout in designated areas in compliance with the Project's stormwater pollution prevention plan.

12.3 **Protection of Work.** Subcontractor is responsible for protecting the Subcontract Work until it is accepted, including protection of fresh concrete from weather, traffic, and premature loading.

ARTICLE 13 — DEFAULT AND TERMINATION

13.1 **Default.** If Subcontractor fails to perform any obligation of this Subcontract and does not begin to cure the failure within three (3) working days after written notice, and diligently complete the cure, Contractor may, without prejudice to any other remedy, supplement Subcontractor's forces or take over and complete all or any part of the Subcontract Work. The cost of doing so shall be deducted from amounts due to Subcontractor, and Subcontractor shall pay any excess to Contractor.

13.2 **Termination for Convenience.** Contractor may terminate this Subcontract for convenience on written notice if Owner terminates the Prime Contract or for any other reason. In that case, Subcontractor shall be paid for Subcontract Work properly performed through the date of termination, plus reasonable demobilization costs, but not anticipated profit on unperformed work. Payment under this Section is subject to Article 5.

13.3 **Suspension.** Contractor may suspend the Subcontract Work by written notice. Subcontractor shall be entitled to an equitable extension of time and to reimbursement of documented costs of suspension, to the extent Contractor recovers them from Owner.

ARTICLE 14 — DISPUTES AND GOVERNING LAW

14.1 **Negotiation.** The parties shall first attempt to resolve any dispute through good-faith negotiation between their project executives within fourteen (14) days after written notice of the dispute.

14.2 **Disputes Involving Owner.** If a dispute concerns acts, omissions, or obligations of Owner, Subcontractor shall be bound by the outcome of any proceeding between Contractor and Owner to the same extent Contractor is bound, and Subcontractor shall cooperate in Contractor's presentation of the claim.

14.3 **Forum.** Disputes not resolved by negotiation shall be resolved in the Superior Court of California for the County of Los Angeles, unless the parties agree in writing to mediation or arbitration.

14.4 **Governing Law.** This Subcontract is governed by the laws of the State of California, without regard to its conflict-of-laws rules.

14.5 **Attorneys' Fees.** In any action to enforce this Subcontract, the prevailing party is entitled to recover its reasonable attorneys' fees and costs.

ARTICLE 15 — GENERAL PROVISIONS

15.1 **Independent Contractor.** Subcontractor is an independent contractor and is solely responsible for its employees, wages, taxes, and benefits.

15.2 **Assignment.** Subcontractor shall not assign this Subcontract, or subcontract any portion of the Subcontract Work, without Contractor's prior written consent. Contractor may assign this Subcontract to Owner if the Prime Contract is terminated.

15.3 **Licensing.** Subcontractor represents that it holds, and will maintain throughout the Project, a valid California contractor's license in the classification required for the Subcontract Work.

15.4 **Notices.** Notices must be in writing and delivered by hand, by overnight courier, or by email with confirmation of receipt, to the addresses stated in the preamble or to another address a party designates by notice.

15.5 **Severability.** If any provision of this Subcontract is held unenforceable, the remaining provisions remain in full force, and the unenforceable provision shall be applied to the maximum extent permitted by law.

15.6 **Entire Agreement.** This Subcontract, with the Subcontract Documents, is the entire agreement of the parties regarding the Subcontract Work and supersedes all prior proposals, negotiations, and agreements. It may be amended only by a writing signed by both parties.

15.7 **Counterparts.** This Subcontract may be signed in counterparts and by electronic signature, each of which is an original and all of which together are one instrument.

IN WITNESS WHEREOF, the parties have executed this Subcontract as of the Effective Date.

CONTRACTOR: Sierra Crest General Contractors, Inc. By: _____ Name: Marisol T. Avendaño Title: Vice President, Operations Date: _____

SUBCONTRACTOR: Granite State Concrete, Inc. By: _____ Name: Dale R. Whitcomb Title: President Date: _____

EXHIBIT — SCHEDULE OF VALUES

Item	Description	Amount
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1	Mobilization, submittals, and mix designs	$12,000.00
2	Layout and survey from primary control	$8,500.00
3	Spread and continuous footings	$74,000.00
4	Grade beams	$46,500.00
5	Interior slab-on-grade, including vapor retarder	$88,000.00
6	Elevated mezzanine slab on metal deck	$79,000.00
7	Exterior site walls, curbs, and pads	$48,000.00
8	Finishing, polishing, curing, and sealers	$18,500.00

9	Testing coordination and closeout submittals	$6,500.00
10	Demobilization and final cleanup	$4,000.00
	****Subcontract Sum****	****$385,000.00****